Nongshim (004370 KS)

Domestic business takes breather as overseas operations improve

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BUY (M)

Target price	W570,000 (M)
Previous target price	W570,000
Current price (Oct 20)	W411,500
Upside potential	39%

Market cap (Wbn)	2,503
Shares outstanding	6,082,642
Avg daily T/O (2M, Wbn)	12
Avg daily volume (2M, shrs)	29,692
52-week high/low (won)	472,000 / 329,500
Foreign ownership (%)	24.57%
Dividend yield (%)	1.39%
Major shareholders	Nongshim Holdings & others

Stock performance

(%)	1M	3M	12M
Absolute	5.1	17.9	(4.7)
Relative	30.5	38.4	(34.6)
Abs (US$)	9.5	31.3	1.8

3Q26 preview: likely misses consensus

We estimate Nongshim's 3Q26 consolidated sales at W913.4bn (+4.8% YoY, -4.5% QoQ) and OP at W55.1bn (+1.4% YoY, -7.1% QoQ, OPM 6.0%), with OP missing market consensus by 11.4%. Domestic performance likely fell short of expectations due to fewer business days and consumer resistance to higher prices immediately following the August price hike. Ramen (instant noodle) and merchandise sales likely grew, while snacks and beverages likely declined. Higher raw material and packaging costs, alongside logistics and energy expenses, likely weighed on profitability.

In contrast, we believe overseas subsidiaries maintained solid growth. In particular, US sales volumes continued to recover, supported by a low base following last year's price hikes and expansion into new distribution channels. Reduced promotional discounts also lifted ASP, resulting in an encouraging improvement in both pricing and volume. In China, expansion in snack store channels and strong new product sales likely drove growth. However, European sales growth was likely limited on a QoQ basis.

2027: Noksan plant to drive next stage of export growth

From 4Q26, the full benefits of domestic price hikes should feed through, while the export-dedicated Noksan plant, scheduled to begin operations in October, should support increased shipments to Europe. The new plant is expected to start at a utilization rate of 20-30%, with higher utilization in 2027 driving export volume growth. Europe's emergence as a new growth driver alongside the US and China is particularly noteworthy.

However, raw material and logistics cost pressures, together with initial operating costs at the new plant, could cause profit to grow more slowly than sales. A share price re-rating will hinge on whether US pricing and volume improvements continue and whether European sales expansion translates into OP growth.

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	913	4.8	-4.5	929	-1.7
OP	55	1.4	-7.0	62	-11.4
Pre-tax net profit	65	6.8	-6.4	72	-9.3
Net profit, CI	50	-0.4	-7.8	54	-7.1
OPM (%)	6.0	-0.2 %pt	-0.2 %pt	6.7	-0.7 %pt
NPM (%)	5.5	-0.3 %pt	-0.2 %pt	5.8	-0.3 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,439	3,514	3,731	4,059
OP	163	184	233	239
Net profit, CI	157	170	203	216
P/E (x)	15.4	14.5	12.3	11.6
P/B (x)	0.9	0.8	0.8	0.8
EV/EBITDA (x)	5.5	4.6	3.7	3.3
ROE (%)	6.2	6.2	7.0	7.0

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Nongshim: peer valuation						(Wbn, JPYbn)
		Nongshim	Samyang Foods	Ottogi	Nissin	Toyo Suisan
Market cap		**2,503**	9,198	1,313	901	1,186
Sales	2025	**3,514**	2,352	3,675	850	570
	2026E	**3,731**	3,125	3,776	894	591
	2027E	**4,059**	3,854	3,871	931	608
	2028E	**4,087**	4,390	-	921	628
OP	2025	**184**	524	177	69	86
	2026E	**233**	720	208	74	89
	2027E	**239**	921	216	80	93
	2028E	**263**	1,104	-	81	97
OPM	2025	**5.2%**	22.3%	4.8%	8.1%	15.1%
	2026E	**6.3%**	23.0%	5.5%	8.3%	15.0%
	2027E	**5.9%**	23.9%	5.6%	8.6%	15.2%
	2028E	**6.4%**	25.1%	-	8.8%	15.5%
Net profit, CI	2025	**170**	389	69	49	69
	2026E	**203**	572	136	52	71
	2027E	**216**	724	143	56	74
	2028E	**238**	863	-	56	77
P/E (x)	2025	**15.5**	23.8	22.3	19.1	14.0
	2026E	**12.3**	16.1	9.7	17.3	16.7
	2027E	**11.6**	12.7	9.2	16.0	15.9
	2028E	**10.5**	10.7	-	16.0	15.3

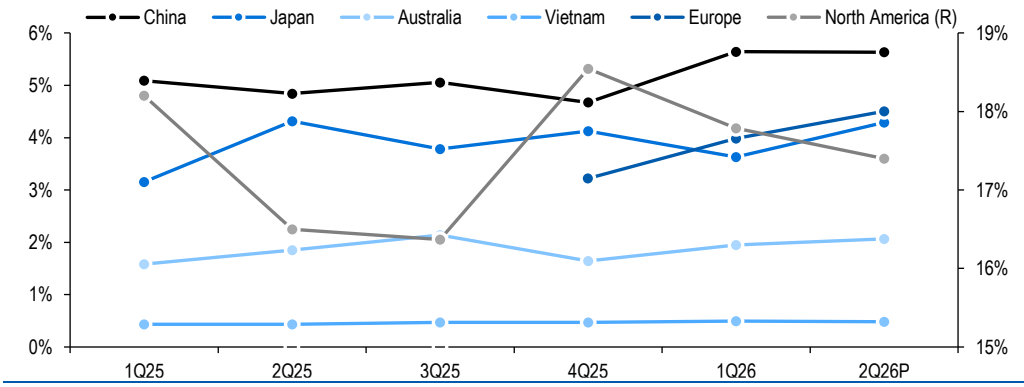
Note: market cap as of Oct 20, 2026, Source: Bloomberg, Yuanta Securities

Nongshim: earnings forecast (Wbn)

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E
Sales		**893.0**	**867.7**	**871.2**	**882.4**	**934.0**	**956.1**	**913.4**	**927.3**	**3,514.3**	**3,730.8**	**4,059.2**
Domestic		**693.4**	**693.7**	**675.2**	**672.4**	**715.0**	**738.4**	**715.7**	**726.8**	**2,734.7**	**2,895.9**	**3,024.6**
(separate)	Ramen	410.3	403.8	405.8	418.0	408.1	411.1	420.0	451.0	1,637.8	1,690.3	1,687.8
	Snack	101.5	111.6	113.6	98.4	102.2	110.7	111.3	97.7	425.1	421.9	417.8
	Exports	138.9	145.1	119.9	124.5	155.4	171.5	153.8	144.6	528.4	625.2	747.7
	Other/sales allowances	42.7	33.2	35.9	31.7	49.3	45.1	30.5	33.6	143.4	158.5	171.3
Overseas		**254.2**	**242.4**	**266.1**	**288.3**	**312.8**	**328.6**	**334.2**	**351.4**	**1,051.0**	**1,327.0**	**1,625.1**
	North America	162.5	143.2	142.6	163.6	166.1	166.3	168.3	180.0	612.0	680.7	732.2
	China	45.4	42.0	44.0	41.2	52.7	53.9	55.1	50.2	172.7	211.8	258.2
	Japan	28.2	37.4	32.9	36.4	33.9	41.0	41.2	42.7	135.0	158.8	188.6
	Australia	14.1	16.0	18.6	14.5	18.2	19.8	22.0	18.1	63.3	78.1	95.4
	Vietnam	3.9	3.8	4.1	4.1	4.6	4.6	4.9	5.0	15.9	19.2	23.2
	Europe		9.2	23.7	28.4	37.2	43.1	42.7	55.4	61.3	178.4	327.5
Cons adj		-54.5	-68.4	-70.1	-78.4	-93.8	-111.0	-136.5	-151.0	-271.4	-492.2	-590.5
% YoY		***2.3%***	***0.8%***	***2.4%***	***3.2%***	***4.6%***	***10.2%***	***4.8%***	***5.1%***	***2.2%***	***6.2%***	***8.8%***
Domestic		***1.4%***	***0.9%***	***1.2%***	***1.4%***	***3.1%***	***6.4%***	***6.0%***	***8.1%***	***1.2%***	***5.9%***	***4.4%***
(separate)	*Ramen*	*5.3%*	*3.0%*	*5.1%*	*2.0%*	*-0.5%*	*1.8%*	*3.5%*	*7.9%*	*3.8%*	*3.2%*	*-0.1%*
	Snack	*-11.1%*	*3.9%*	*9.4%*	*-0.6%*	*0.6%*	*-0.8%*	*-2.0%*	*-0.7%*	*0.2%*	*-0.8%*	*-1.0%*
	Exports	*7.8%*	*1.0%*	*-10.5%*	*5.3%*	*11.9%*	*18.2%*	*28.3%*	*16.2%*	*0.7%*	*18.3%*	*19.6%*
	Other/sales allowances	*-16.2%*	*-24.9%*	*-17.4%*	*-12.7%*	*15.6%*	*36.0%*	*-15.0%*	*6.0%*	*-18.0%*	*10.5%*	*8.0%*
Overseas		***2.9%***	***2.8%***	***14.4%***	***18.3%***	***23.1%***	***35.6%***	***25.6%***	***21.9%***	***9.6%***	***26.3%***	***22.5%***
	North America	*0.8%*	*-4.6%*	*-6.7%*	*2.9%*	*2.2%*	*16.2%*	*18.0%*	*10.0%*	*-1.8%*	*11.2%*	*7.6%*
	China	*-4.5%*	*2.5%*	*31.9%*	*7.4%*	*16.0%*	*28.2%*	*25.0%*	*21.7%*	*7.7%*	*22.6%*	*21.9%*
	Japan	*21.0%*	*38.6%*	*25.9%*	*21.8%*	*20.3%*	*9.6%*	*25.0%*	*17.3%*	*26.9%*	*17.7%*	*18.7%*
	Australia	*20.6%*	*9.9%*	*11.6%*	*11.5%*	*29.0%*	*23.2%*	*18.0%*	*25.0%*	*13.0%*	*23.4%*	*22.2%*
	Vietnam	*17.2%*	*17.9%*	*16.0%*	*25.5%*	*19.6%*	*21.3%*	*20.0%*	*21.6%*	*19.0%*	*20.6%*	*20.8%*
	Europe	-	-	-	-	-	*368.1%*	*80.0%*	*95.0%*	-	*190.8%*	*83.6%*
% in sales												
Domestic		**77.6%**	**79.9%**	**77.5%**	**76.2%**	**76.6%**	**77.2%**	**78.4%**	**78.4%**	**77.8%**	**77.6%**	**74.5%**
(separate)	Ramen	45.9%	46.5%	46.6%	47.4%	43.7%	43.0%	46.0%	48.6%	46.6%	45.3%	41.6%
	Snack	11.4%	12.9%	13.0%	11.1%	10.9%	11.6%	12.2%	10.5%	12.1%	11.3%	10.3%
	Exports	15.6%	16.7%	13.8%	14.1%	16.6%	17.9%	16.8%	15.6%	15.0%	16.8%	18.4%
	Other/sales allowances	4.8%	3.8%	4.1%	3.6%	5.3%	4.7%	3.3%	3.6%	4.1%	4.2%	4.2%
Overseas		**28.5%**	**27.9%**	**30.5%**	**32.7%**	**33.5%**	**34.4%**	**36.6%**	**37.9%**	**29.9%**	**35.6%**	**40.0%**
	North America	18.2%	16.5%	16.4%	18.5%	17.8%	17.4%	18.4%	19.4%	17.4%	18.2%	18.0%
	China	5.1%	4.8%	5.1%	4.7%	5.6%	5.6%	6.0%	5.4%	4.9%	5.7%	6.4%
	Japan	3.2%	4.3%	3.8%	4.1%	3.6%	4.3%	4.5%	4.6%	4.9%	5.7%	6.4%
	Australia	1.6%	1.8%	2.1%	1.6%	1.9%	2.1%	2.4%	2.0%	3.8%	4.3%	4.6%
	Vietnam	0.4%	0.4%	0.5%	0.5%	0.5%	0.5%	0.5%	0.5%	1.8%	2.1%	2.4%
	Europe	-	-	-	3.2%	4.0%	4.5%	4.7%	6.0%	0.5%	0.5%	0.6%
OP		**56.1**	**40.2**	**54.4**	**33.4**	**67.4**	**59.3**	**55.1**	**51.6**	**183.9**	**233.4**	**239.5**
% YoY		*-8.7%*	*-8.1%*	*44.6%*	*63.4%*	*20.3%*	*47.6%*	*1.4%*	*54.8%*	*12.8%*	*26.9%*	*2.6%*
OPM (%)		6.3%	4.6%	6.2%	3.8%	7.2%	6.2%	6.0%	5.6%	5.2%	6.3%	5.9%

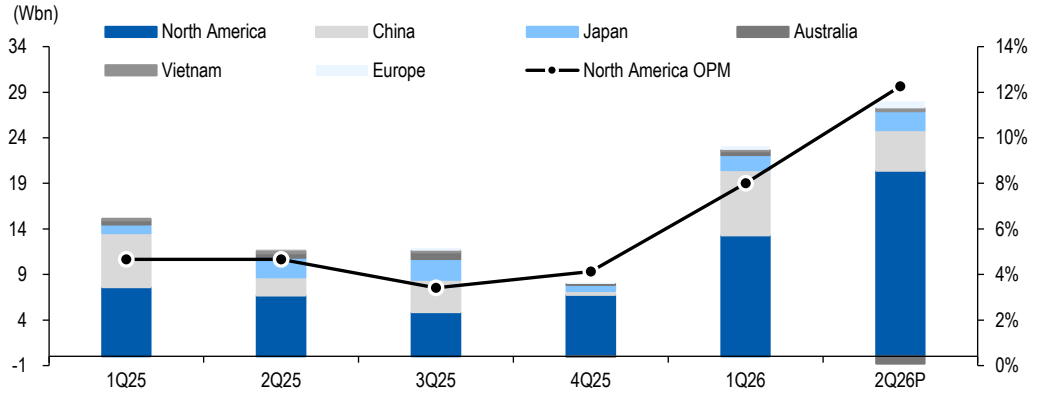
Source: Yuanta Securities

Nogshim: quarterly portion for overseas subsidiaries in sales



Source: company data, Yuanta Securities

Nongshim: OP breakdown by country and North America OPM



Source: company data, Yuanta Securities

Nongshim (004370 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,439**	**3,514**	**3,731**	**4,059**	**4,087**
Cost of sales	2,473	2,495	2,596	2,836	2,845
Gross profit	966	1,019	1,135	1,223	1,242
SG&A	802	835	901	984	980
Operating profit	**163**	**184**	**233**	**239**	**263**
EBITDA	286	311	363	377	407
Non-operating profit	55	34	38	48	51
Forex gains	2	1	-1	1	1
Net interest income	22	20	24	27	30
Equity-method gains	0	0	0	0	0
Other	31	13	15	20	20
Net prof before income tax	218	218	272	287	313
Income tax	60	48	68	72	75
Net profit from continuing ops	158	170	203	216	238
Net profit from discontinued ops	0	0	0	0	0
Net profit	158	170	203	216	238
NP for controlling interest	**157**	**170**	**203**	**216**	**238**
Total comprehensive income	264	167	200	212	235
Total comprehensive income, CI	262	167	200	213	235

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,744**	**1,960**	**2,136**	**2,302**	**2,426**
Cash & cash equivalents	141	254	337	364	476
Accounts receivables & other	328	340	362	394	397
Inventory	323	353	375	408	411
Non-current assets	1,854	1,862	1,902	1,987	2,064
Tangible assets	1,580	1,586	1,631	1,718	1,797
Investment in affiliates	1	2	2	2	2
Other investment assets	57	69	73	75	76
Total assets	**3,597**	**3,822**	**4,038**	**4,289**	**4,490**
Current liabilities	678	833	876	941	946
Accounts payable & other	568	622	661	719	724
ST financial liabilities	26	26	26	26	26
Liquid LT liabilities	1	1	1	1	1
Non-current liabilities	247	158	166	178	179
LT financial liabilities	16	14	14	14	14
Debentures	129	0	0	0	0
Total liabilities	**925**	**991**	**1,042**	**1,119**	**1,125**
Equity, controlling interest	2,672	2,831	2,996	3,170	3,364
Paid-in capital	30	30	30	30	30
Capital surplus	130	137	137	137	137
Retained earnings	2,437	2,578	2,747	2,925	3,122
Equity, non-controlling interest	1	0	0	0	0
Total equity	**2,673**	**2,831**	**2,996**	**3,171**	**3,365**
Net debt	**-850**	**-1,043**	**-1,171**	**-1,267**	**-1,385**
Total debt	203	177	177	178	178

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**273**	**269**	**328**	**337**	**392**
Net profit	158	170	203	216	238
Depreciation & amortization	118	122	125	133	141
Forex gains	1	-1	1	-1	-1
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-52	-88	-63	-73	-47
Other	47	66	62	62	61
Investing cash flow	**-382**	**-117**	**-203**	**-175**	**-110**
Investment	-51	-70	-4	-2	-1
Increase in tangible assets	-123	-68	-170	-120	-120
Decrease in tangible assets	7	0	0	0	0
Other	-216	21	-29	-53	11
Financing cash flow	**95**	**-41**	**-27**	**-30**	**-33**
ST financial liabilities	7	-2	1	1	0
Debenture/LT financial liabilities	135	-24	0	0	0
Equity	8	7	0	0	0
Cash dividend	-29	-29	-35	-38	-41
Other cash flow	-27	7	7	7	7
Consolidation adj and other	12	2	-15	-105	-137
Increase in cash & equivalents	**-2**	**113**	**83**	**27**	**112**
Beginning cash & equivalents	143	141	254	337	364
Ending cash & equivalents	141	254	337	364	476
NOPLAT	163	184	**233**	**239**	**263**
FCF	**150**	**201**	**158**	**217**	**272**

Valuation

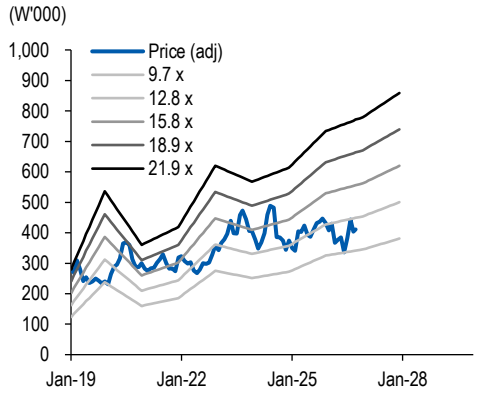
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	25,861	27,970	33,437	35,488	39,150
BPS (won)	462,077	485,193	513,486	543,417	576,666
EBITDA/shr (won)	46,976	51,181	59,747	62,015	66,973
SPS (won)	565,335	577,761	613,344	667,347	671,971
DPS (won)	5,000	6,000	6,500	7,000	7,500
P/E (x)	**15.4**	**14.5**	**12.3**	**11.6**	**10.5**
P/B (x)	**0.9**	**0.8**	**0.8**	**0.8**	**0.7**
EV/EBITDA (x)	**5.5**	**4.6**	**3.7**	**3.3**	**2.7**
P/S (x)	**0.7**	**0.7**	**0.7**	**0.6**	**0.6**

Key financial data

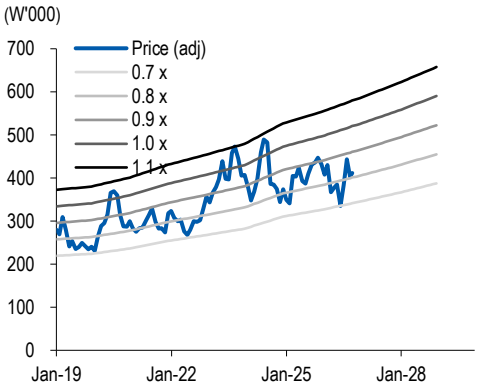
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**0.8**	**2.2**	**6.2**	**8.8**	**0.7**
Operating profit (%YoY)	**-23.1**	**12.8**	**26.9**	**2.6**	**9.7**
Net profit, CI (%YoY)	**-8.5**	**8.2**	**19.5**	**6.1**	**10.3**
Gross margin (%)	28.1	29.0	30.4	30.1	30.4
Operating margin (%)	**4.7**	**5.2**	**6.3**	**5.9**	**6.4**
Net margin, CI (%)	4.6	4.8	5.5	5.3	5.8
EBITDA margin (%)	8.3	8.9	9.7	9.3	10.0
ROIC (%)	7.2	8.4	10.3	10.2	10.6
ROA (%)	4.6	4.6	5.2	5.2	5.4
ROE (%)	**6.2**	**6.2**	**7.0**	**7.0**	**7.3**
Debt-to-equity (%)	34.6	35.0	34.8	35.3	33.4
Net debt-to-equity (%)	-31.8	-36.8	-39.1	-40.0	-41.2
OP/financing cost (x)	26.8	22.1	30.1	30.8	33.7

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

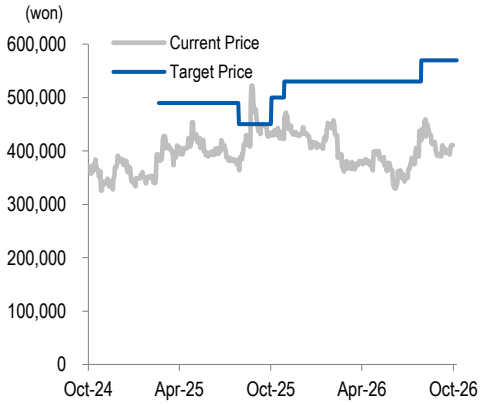
P/E band chart



P/B band chart



Nongshim (004370 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/21	BUY	570,000	1 yr		
2026/08/18	BUY	570,000	1 yr		
2025/11/17	BUY	530,000	1 yr	-25.48	-10.94
2025/10/22	BUY	500,000	1 yr	-13.56	-11.40
2025/08/18	BUY	450,000	1 yr	-3.36	16.00
2025/03/11	BUY	490,000	1 yr	-17.92	-7.35
	Analyst changed				
2023/11/08	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 21, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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